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Chapter 4

Customer Returns Overview



Introduction

There is a growing requirement to control the flow of goods back from the customer, particularly for Wholesalers distributing to Retailers. The need to control such an important aspect of the company's activity is key to reducing costs and increasing customer satisfaction.

The tasks associated with the sale and despatch of goods are similar to those required for return and credit of unwanted items. This not only includes pricing and discounting, but also receiving, checking and re-packing the returned goods.

Customer Returns provides information and facilities in the following key areas:

- Return Note creation.
- Returned goods receiving.
- Quality Assurance.
- Credit Note creation.
- Returns tracking and commitment or both.

You can control and tailor Customer Returns to each company's requirements using the profiles.

Relationship to Other Modules

You must have the following modules to use Customer Returns:

- **Inventory Management** - The Inventory Management Item Master provides the specification of the items. You maintain physical stock balances using the Returns Receiving function. Customer Returns writes Inventory movement records for returned goods and scrap or rejection adjustments.
- **Accounts Receivable** - Customer Returns uses the standard Accounts Receivable customer data.
- **Sales Order Processing** - provides additional customer information: Price, Discount, Order and Invoice data. Customer Returns creates Credit Notes, which you can process with Invoices and Credit Notes raised within Sales Order Processing. Customer Returns uses the Sales Order Processing pricing, if you do not match the Return to a Sales Invoice, when you create a Credit Note.

You can also use Customer Returns in conjunction with the following:

- **Advanced Financial Integrator (AFI)** - You can process the Inventory Movement and Credit Note details created within Customer Returns by AFI. You can then use AFI to update Stock and Debtor accounts in the General Ledger.
- **Sales Analysis** - you can extract the Credit Notes created within Customer Returns into Sales Analysis.
- **Warehousing** - Customer Returns checks to determine whether you have Warehousing installed and if so, whether the Company and Stockroom being processed is defined to Warehousing and is active. If so, when you receive goods or transfer them to Stores you need to enter Warehousing specific information including packing code, and expiry date (for consumables). The put-away routines in Warehousing then process these items.

Configuring Customer Returns

You can operate Customer Returns for a number of companies. You maintain the characteristics of each company on the company profile. The information includes:

- Defaults for Returns Entry and Receiving.
- Application Tailoring parameters.
- Output queues for reports.
- Return Note numbering.
- Goods Returned Note (GRN) numbering.
- Reject Note numbering (for returned goods sent back to the customer).

These default values improve the efficiency of data entry and provide the parameters for the generation of document references.

Customer Returns uses Master File data set up in other modules. You also need to set up some Master Files specifically for Customer Returns. These are:

- Returns Officer names.
- Collection Instructions.
- Receiving Addresses.

Returns Officer Names

A Returns Officers is an employee who uses Customer Returns. You record a Returns Officer against each Return Note raised to identify authorisation processing options.

You must authorise a Returns Officer before they can authorise returns. You can authorise returns when you enter the Return details, or via the Returns Authorisation function.

Collection Instructions

You can maintain a set of collection instructions for each company, using up to three lines of text. You identify each set of instructions with a three character code. You select the collection instructions in Returns Entry, (you can change the selection in Returns Amendment) and are printed on the Return Note document.

Receiving Addresses

You can maintain a set of receiving addresses for each company. Each receiving address is identified by a three character code and comprises of a name, and up to five lines of address details.

You can select the receiving address for returned goods in Returns Entry. Otherwise, the receiving address defaults to the receiving address set on the company profile. You can select a different address in Returns Amendment.

The address prints on the Return Note document.

Processing

You can divide the normal day-to-day processing in Customer Returns into three types of tasks:

- Creating Return Notes.
- Receiving returned goods.
- Creating Credit Notes.

Creating Return Notes

You create Return Notes after entering and authorising the return request.

You can break the entry of the requested return into three stages:

- Header.
- Items.
- Options.

Header

You can specify the following information on the return header:

- Return Reason - the reason the goods are returned. The Credit Creation process uses this as the Reason for Credit code when raising a Credit Note.
- Returns Officer - the employee registering the requested return.
- Original Invoice - the original sales invoice for the returned goods. The matching of a Return to an original invoice is optional.
- Stockroom - The stockroom which receives the return.

Other details specified on the collection note header are:

- Return Note Number.
- Request Date.
- Expected Return Date.
- Collection Instruction Code.
- Department.
- Customer Reference.
- Job Number.
- Department.

Items

If you enter an original invoice number, you can only enter items appearing on that invoice on the return being raised. You can select these items from the invoice, which displays automatically. The returned quantities of each item can not exceed the quantities originally invoiced.

If you do not enter an invoice number, you can enter any item valid for the receiving stockroom on the Return. In this case you can enter any quantity.

The expected return date, job number and department default from the header values, but you can change them.

Options

When you complete each return, there are options to:

- Enter further return requests.

- Add multi-lingual text to print on the Return Note.
- Add internal Return Note text.
- Cancel the Return.
- Authorise the Return immediately.
- Print the Return Note, immediately, as part of a batch printing run, or not at all.

The authorisation and printing options are only available if the Returns Officer, entered on the Return, can authorise Return requests.

You can change outstanding Returns. An audit trail of amendments is provided.

You must release unauthorised Returns requests using the Authorisation function before printing Return Notes.

You must print the Returns with printing requirements interactively or via the Print Return Note option, before you receive the returned goods.

Receiving Returned Goods

All goods received must be covered by a Return number. So you can process the correct Return, you can view all outstanding Returns by item or customer. You can enter the Return number directly.

You can receive the returned goods into any of the following three locations:

- Goods Inwards.
- Inspection.
- Stores.

Inventory Management is only updated when you make a receipt (or transfer) into or out of Stores. You can then move items from their original receipt location using the Transfer Returns option.

You can entirely receive a return, or receive the return on a line by line basis. You can enter partial receipts of the line quantity.

If necessary, you must also enter the batch, lot and serial numbers for the item being returned. If you receive the item into an active Warehouse, you must also enter the packing information and expiry date for consumables.

You can update the internal Return Note and return line text at the receiving stage.

You can print the Goods Returned Note (GRN) along with labels. GRN numbers can be automatically generated. Control these options using parameters set on the Company Profile.

Once received, you can use the following facilities for Quality Assurance of the returned goods:

- Transfer goods in and out of the Inspection location.
- Rejection goods for example, where damaged by the customer.
- Scrap goods, with reasons for analysis.
- Optionally create rejection documentation.

Credit Note Creation

You can use the Credit Note Creation function to generate Credit Notes that you can process using the standard Sales Order Processing and Invoicing functions.

Once generated, you process the Returns-based Credit Notes through the printing, Account Receivable and General Ledger updating stages in the same way as Credit Notes raised within Sales Order Processing.

Credit Note creation operates in one of two ways, depending on whether you entered an original Sales Invoice number when you created the return:

- If you used an invoice as the basis for the Return, you credit the items based on the unit price from the original invoice. You can reduce the price but not increase it.
- If you do not use an original invoice as the basis for the Return, then the Credit Note is priced using the Sales Order Processing standard process.

You can raise a credit note for an entire return (all receipts not yet credited), or individually for each receipt with a separate GRN.

You can enter review and amend Credit Note line text. You can enter charges and refunds to the Customer for each Credit Note.

You can stop the creation of the Credit Note until you receive the returned goods into the Stores location. To do this you set a parameter on the Company Profile.

Enquiries

You can group enquiries into three categories:

- Outstanding Return Searches - You can enquire by item, customer, return number, job number and returns officer.
- Return Details - You can display details of a particular Return showing, for each line, receipts to date and location of goods, as well as other details.
- Financial - You can use the standard Sales Order Processing Invoice by Invoice Number enquiry to display details of Credit Notes created through Customer Returns. The Return Note reference code displays to show the Return on which the Credit Note was based.



Note: Refer to the Sales Order Processing product information for details of this enquiry.

Reports

The majority of the reports print on standard listing paper, with 132 print positions and six lines to the inch. In Customer Returns, you can print Return Notes, Goods Returned Notes and Labels on special stationery.

You can group the reports in Customer Returns into three categories:

- Actions. These reports trigger actions, and progress a Return through customer Returns. They are:
 - Print Return Notes
 - Print Goods Returned Notes and Labels.
- Status. These show the current position of the Return within the application and are:
 - Returns Expected
 - Receipts not Credited
 - Returns Commitment.
- Audit. These are:
 - Returns Amendment Audit
 - Receipts and Adjustments.

Implementation Procedure

The recommended steps for implementing Customer Returns are:

1. Fully implement all perquisite applications (Inventory Management, Accounts Receivable and Sales Order Processing - refer to the relevant product information for implementation procedures).
2. Create Customer Returns Company Profile.
3. Set up parameters on the Inventory Descriptions file for Return Reason Codes, Sundry Charge Codes and Scrap or Reject Reason Codes.
4. Create Returns Officers.
5. Create Receiving Addresses.
6. Create Collection Instructions.